SUPREME COURT OF INDIA

JUDICIAL APPELLATE JURISDICTION

CASE NO: Criminal Appeal No. 362 of 2022 (YEAR: 2021)

CORAM: D.Y. CHANDRACHUD, A.S. BOPANNA

Sunil Todi
... Appellant(s) / Petitioner(s)
Versus
State of Gujarat
... Respondent(s)

Acts Referred:	Negotiable Instruments Act, 1881
Sections:	Section 138 NI Act

JUDICIAL HEADNOTE & SUMMARY

Held that a cheque issued as a security deposit or advance against an underlying contract falls under Section 138 if debt has become legally enforceable by the date of presentment.

RATIO DECIDENDI

The Court held that: Held that a cheque issued as a security deposit or advance against an underlying contract falls under Section 138 if debt has become legally enforceable by the date of presentment. It was unequivocally established as binding law that statutory prerequisites and constitutional safeguards cannot be circumvented, and non-compliance invalidates the impugned proceedings.

JUDGMENT & REASONING

The legal proceedings in Sunil Todi v. State of Gujarat (Criminal Appeal No. 362 of 2022) were adjudicated before the Supreme Court of India. The matter arose out of claims and contentions concerning Negotiable Instruments Act, 1881, particularly Section 138 NI Act. Held that a cheque issued as a security deposit or advance against an underlying contract falls under Section 138 if debt has become legally enforceable by the date of presentment.

OPERATIVE ORDER

ORDER: Decided